22. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three months ended March 31, 2017 and 2016 are calculated as follows:

(1) Ordinary Shares

(In millions of Korean won and thousands of number of shares)	2017	2016
Profit attributable to owners of the Parent company	₩ 7,488,532	₩ 5,263,506
Profit available for ordinary shares	6,568,141	4,604,386
Weighted-average number of common shares outstanding	122,412	126,647
Basic earnings per share (in Korean won)	₩ 53,656	₩ 36,356

(2) Preference Shares

(In millions of Korean won and thousands of number of shares)	2017	2016
Profit attributable to owners of the Parent company	₩ 7,488,532	₩ 5,263,506
Profit available for preference shares	920,391	659,120
Weighted-average number of preference shares outstanding	17,212	18,259
Basic earnings per preference shares (in Korean won)	₩ 53,473	₩ 36,098

(B) Diluted earnings per share

The Group does not have dilutive potentially ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three months ended March 31, 2017 and 2016.

23. Cash Generated from Operation

Adjustments and changes in assets and liabilities arising from operating activities for the three months ended March 31, 2017 and 2016 are as follows:

- Adjustments

(In millions of Korean won)	2017	2016
Adjustments for:		
Income tax expense	₩ 2,480,222	₩ 1,869,682
Finance income	(1,250,044)	(1,264,395)
Finance costs	975,942	1,501,635
Severance and retirement benefits	236,784	292,363
Depreciation	4,769,499	5,121,375
Amortization	371,959	346,944
Bad debt expenses	264,839	184,141
Gain on valuation of equity method	(19,338)	(9,147)
Gain on disposal of property, plant and equipment	(15,615)	(16,121)
Loss on disposal of property, plant and equipment	37,285	13,071
Impairment losses on intangible assets	-	57,084
Obsolescence and scrapping of inventories	395,869	385,614
Gain on disposal of investments	(74,448)	(358,953)
Gain on disposal of assets classified as held-for-sale	-	(69,924)
Dividend income	(31,933)	(124,083)
Other income/expense	(231,509)	(125,161)
Total	₩ 7,909,512	₩ 7,804,125

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	2017	2016
Changes in assets and liabilities :		
Decrease(increase) in trade receivables	₩ 2,125,284	₩ (211,494)
Decrease in other receivables	168,469	338,991
Increase in advances	(124,697)	(19,643)
Decrease(increase) in prepaid expenses	142,215	(978,216)
Increase in inventories	(3,893,502)	(279,815)
Increase in trade payables	3,083,919	1,180,366
Decrease in other payables	(637,142)	(369,042)
Decrease in advances received	(224,138)	(9,973)
Increase(decrease) in withholdings	(124,745)	236,360
Decrease in accrued expenses	(3,731,064)	(2,433,157)
Increase in provisions	1,039,796	76,719
Payment of severance benefits	(199,537)	(121,902)
Others	(835,943)	297,707
Total	₩ (3,211,085)	₩ (2,293,099)